($ in millions)	Fiscal Year 2018	Fiscal Year 2017
Net sales	$ 2,157.7	$ 1,797.6
Less: surcharge revenue	365.4	239.2
Net sales excluding surcharge revenue	$ 1,792.3	$ 1,558.4
Operating income	$ 189.3	$ 121.5
Special items:		
Loss on divestiture of business	—	3.2
Adjusted operating income excluding special items	$ 189.3	$ 124.7
Operating margin	8.8%	6.8%
Adjusted operating margin excluding surcharge revenue and special items	10.6%	8.0%

Interest Expense

Fiscal year 2018 interest expense was $28.3 million compared to $29.8 million in fiscal year 2017. We have used interest rate swaps to achieve a level of floating rate debt to fixed rate debt. Interest expense for fiscal year 2018 includes net gains from interest rate swaps of $0.4 million compared with $1.8 million of net gains from interest rate swaps for fiscal year 2017. Capitalized interest reduced interest expense by $2.8 million for fiscal year 2018 compared to $1.3 million in fiscal year 2017.

Other Expense, Net

Other expense, net for fiscal year 2018 was $0.8 million as compared with other expense, net of $21.5 million for fiscal year 2017. The Company adopted the provisions of ASU 2017-07, Compensation - Retirement Benefits (Topic 715), effective July 1, 2018 on a retrospective basis. For fiscal year ended June 30, 2018, $0.1 million and $2.0 million have been reclassified from cost of goods sold and selling, general and administrative expenses, respectively, to other income (expense), net on the consolidated statements of income. For fiscal year ended June 30, 2017, $16.5 million and $7.8 million have been reclassified from cost of goods sold and selling, general and administrative expenses, respectively, to other income (expense), net on the consolidated statements of income. See Note 2 to our consolidated financial statements included in Item 8. “Financial Statements and Supplementary Data” for additional information.

Income Taxes

Our effective tax rate (income tax (benefit) expense as a percent of income before taxes) for fiscal year 2018 was negative 17.7 percent as compared to positive 33.0 percent in fiscal year 2017. Excluding the discrete tax benefits recorded in connection with U.S. Tax reform of $68.3 million that are discussed below, our effective tax rate for fiscal year 2018 would have been 25.0 percent.

As of the date of enactment of the Act, we re-measured our deferred tax assets and liabilities and recorded a provisional net tax benefit of $74.6 million. While we were able to make a reasonable estimate of the impact of the reduction in the corporate tax rate, changes to estimates the Company has made to calculate existing temporary differences, among other items, may result in further adjustments to the amounts recorded.

During fiscal year 2018 in connection with the Act, we also recorded a provisional tax charge of $5.0 million for the transition tax. The Company determined that the amounts recorded for the transition tax are provisional because various components of the computation were not yet finalized as of June 30, 2018, including the following significant items: the actual aggregate foreign cash position and the earnings and profits of the foreign entities as of June 30, 2018, the interpretation and identification of cash positions as of June 30, 2018, and computations of accumulated earnings and profits balances as of November 2, 2017 and December 31, 2017. Under the Act, the transition tax will be paid over an eight-year period beginning in fiscal year 2019.